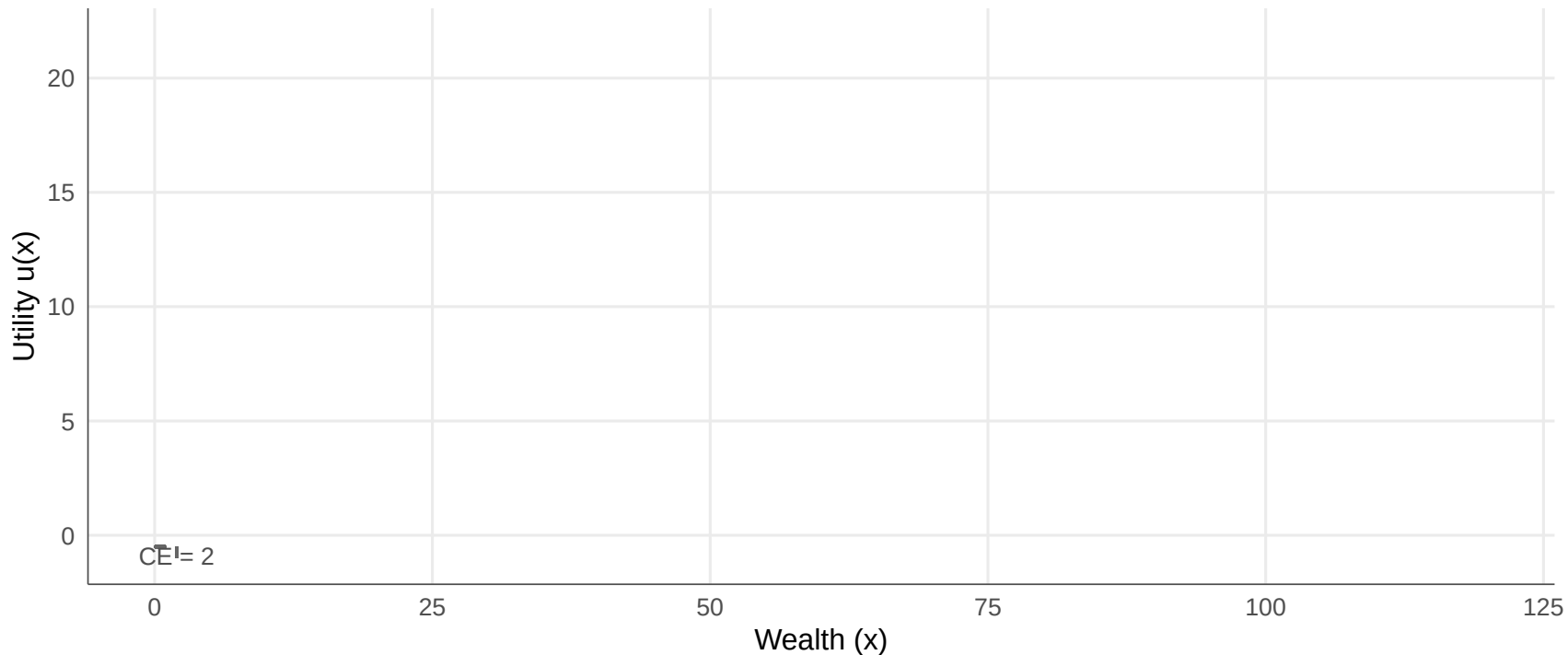


CRRA Utility Functions and Certainty Equivalent

Greater concavity (higher gamma) means greater risk aversion



Risk aversion — $\gamma=0.5$ — $\gamma=1$ — $\gamma=2$ — $\gamma=5$